Executive summary: growth is strong but Oaken is carrying it — Broker pricing, renewals and service need action now

Total Deposits	Net New Money	vs. Plan	Renewal Rate	Cost of Funds
$12.60B	**+$165M**	**-0.9%**	**81.5%**	**3.55%**
+1.6% MoM · +9.8% YoY	Jul +$25M	-$120M gap	Target 83%	+2 bps MoM

What happened

- NNM rebounded to +$165M (Oaken +$105M, Broker +$60M)
- Oaken beat plan by 2%; tiered savings offer drove +$62M in 3 weeks
- Broker 2.3% below plan; renewals 79% and rate rank 7th of 10

What worries us

- Top-3 brokers = 41% of Broker book (limit 40%)
- $2.9B of GICs mature in 90 days
- STP 71%, complaints +22%, retention drifting to 90.4%

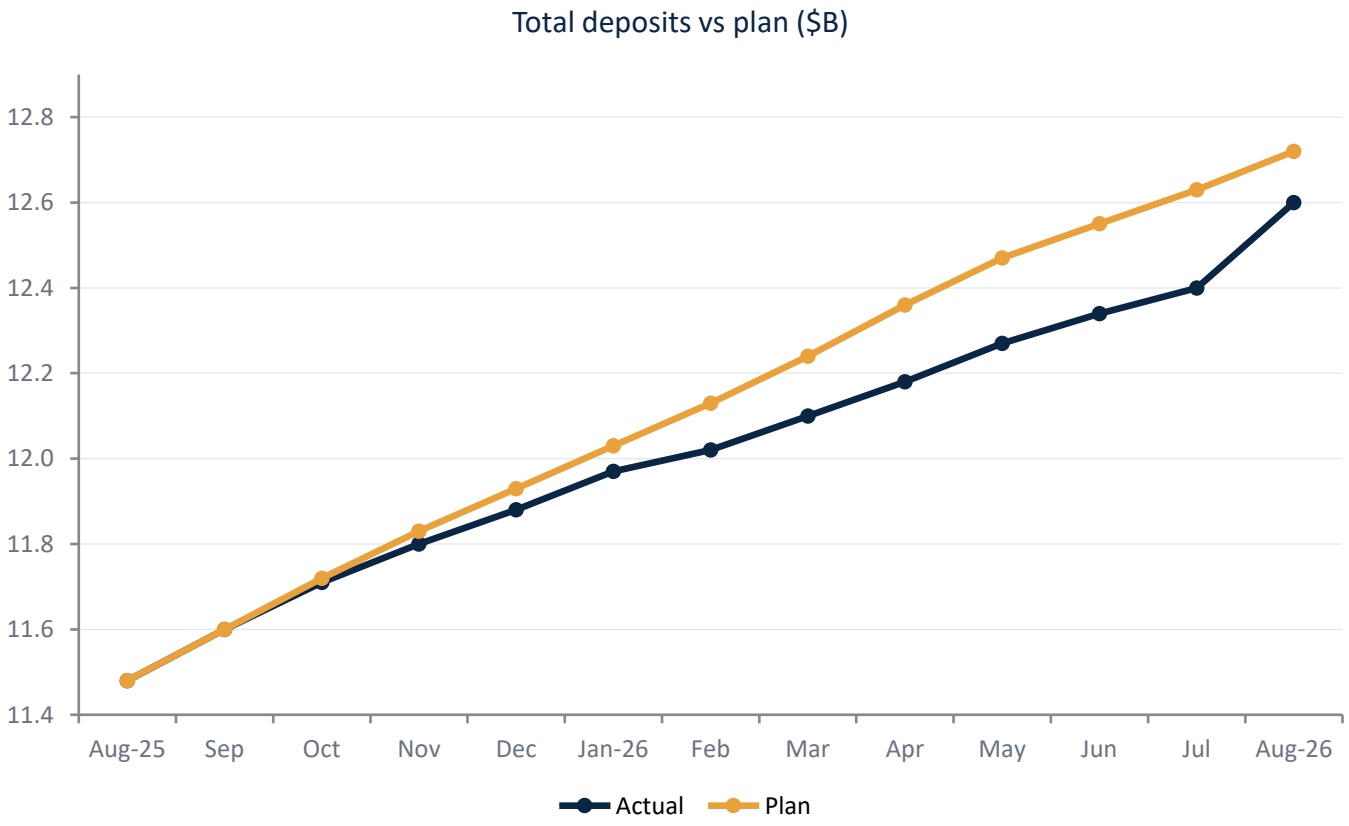
What we need from ELT

- Approve capped broker rate action ($250M)
- Fund $1.2M STP remediation
- Adopt broker concentration guardrails
- Endorse September renewal campaign

Bottom line: the franchise is healthy; growth quality is the issue.

Portfolio: deposits +$200M to $12.60B; plan gap halved to -$120M as NNM rebounded

Total Deposits	YoY Growth	Net New Money	vs. Plan
$12.60B	**+9.8%**	**+$165M**	**-0.9%**
+1.6% MoM	vs $11.48B Aug-25	+$35M interest capitalized	-$120M



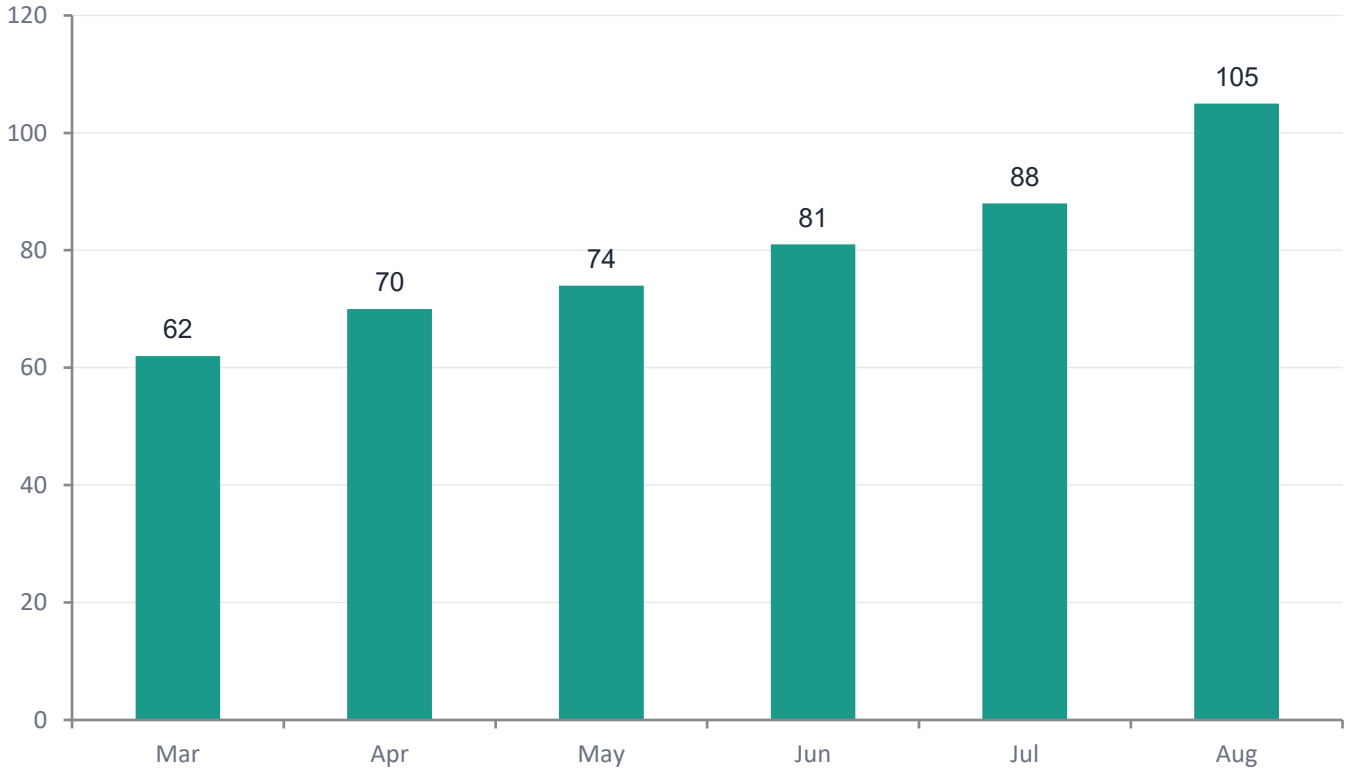
So what

- Of the +$200M monthly change, $165M is NNM and $35M is capitalized interest
- Gap to plan narrowed from -$230M (Jul) to -$120M
- Oaken is +2.0% vs plan; Broker is -2.3% (-$200M)
- Mix is 86% GIC / 14% savings; GIC dependence keeps funding cost tied to market rates

Oaken: fastest-growing channel — the tiered savings offer is working, but attrition is the watch item

Oaken Deposits	New Customers	Avg Balance	vs. Plan
$4.10B	**6,850**	**$38.4K**	**+2.0%**
+3.0% MoM · +14.2% YoY	New accounts 9,420	Products/customer 1.42	+$80M

Oaken net new money ($M) — 6 straight months of growth



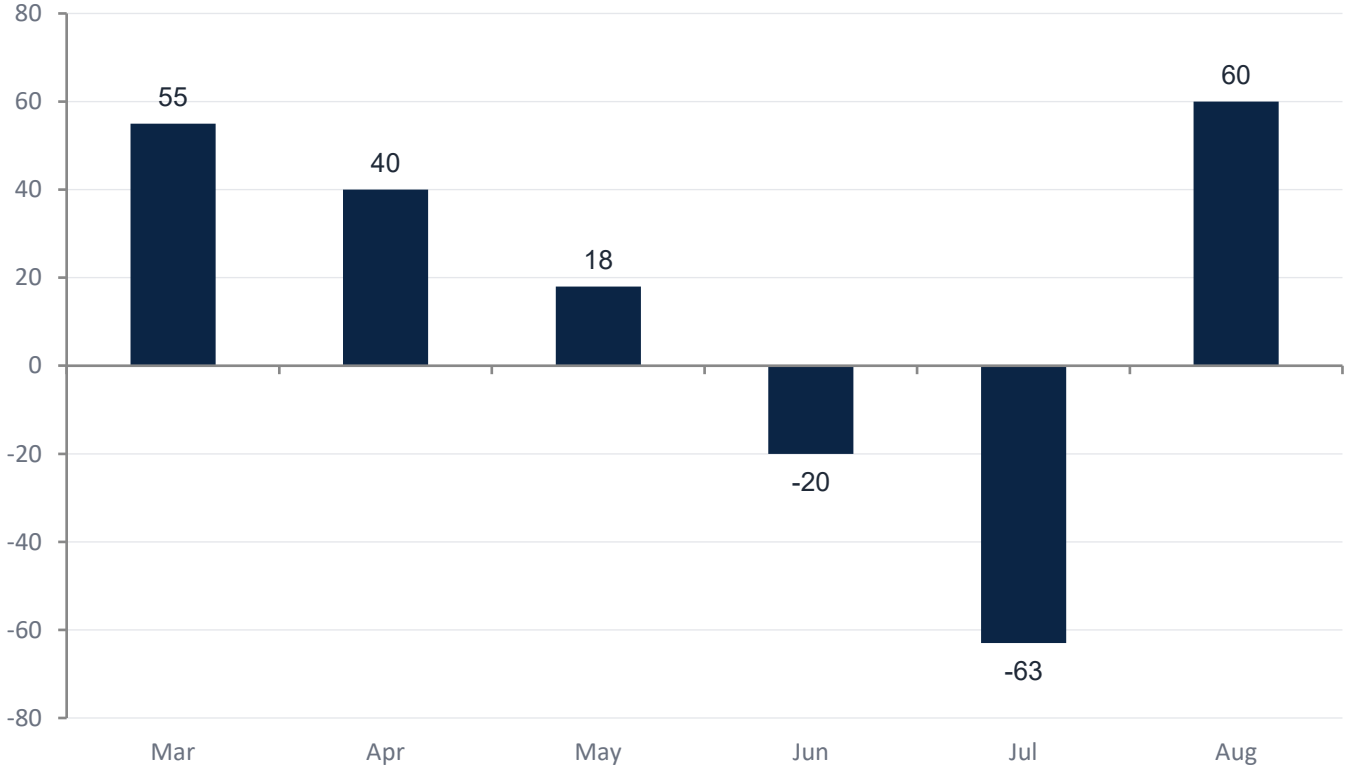
So what

- NNM of $105M is a 6-month high (+19% vs July)
- Tiered savings launched Aug 12: +$62M in 3 weeks at 2.60% blended
- Savings is 31.7% of Oaken balances: lower-cost, stickier funding
- Watch: 1.42 products/customer leaves cross-sell headroom; each +0.1 ≈ +$70M

Broker: back to growth (+$60M) but 2.3% behind plan — pricing and renewals are the cause

Broker Deposits	vs. Plan	Broker Renewal	New GIC Originations
$8.50B	**-2.3%**	**79%**	**$0.81B**
+0.9% MoM · +7.7% YoY	-$200M	Target 83%	Oaken $0.31B

Broker net new money ($M) — recovery after July outflow

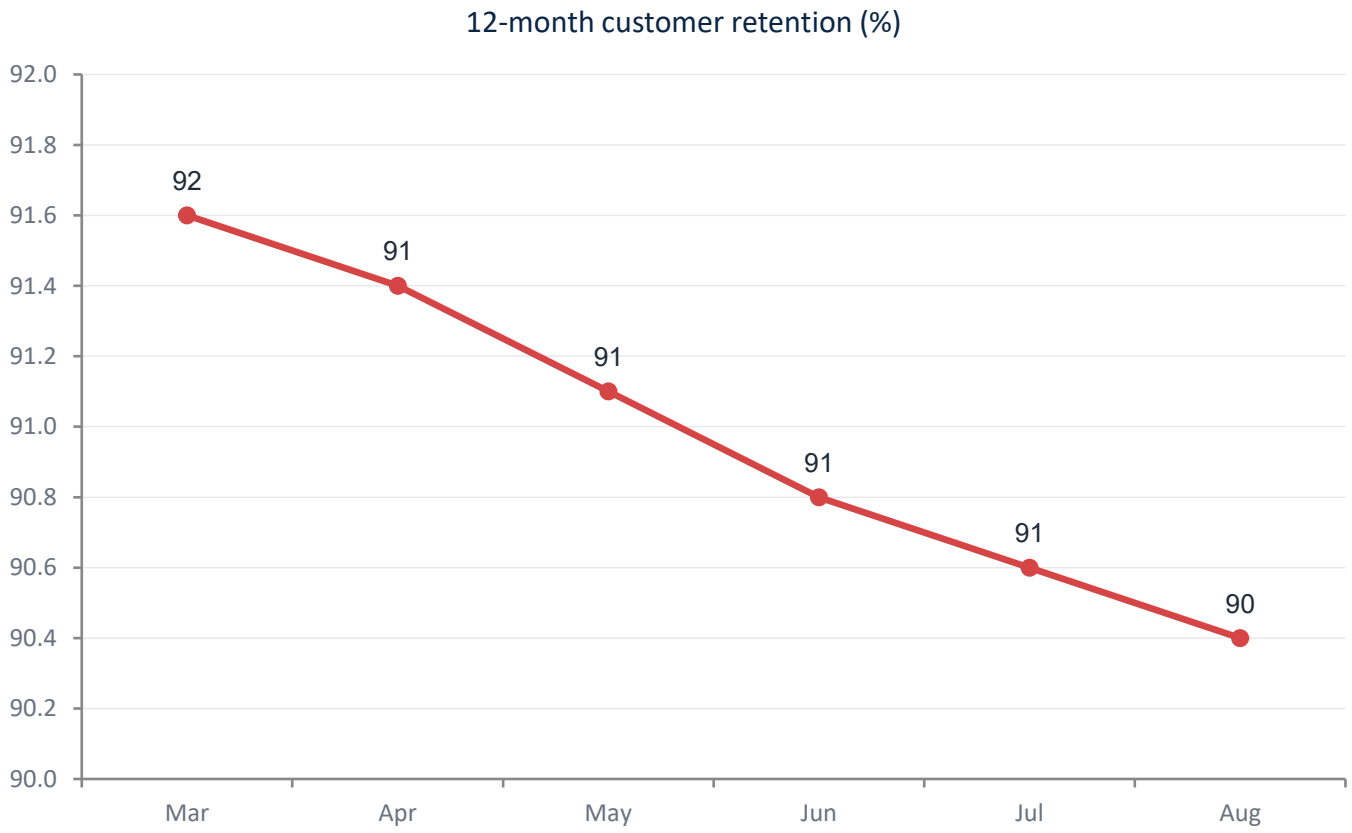


So what

- July's -$63M was a rate-rank problem: our 1Y GIC fell to 7th of 10
- August's rebound followed a mid-month 3Y GIC special; is it sustainable?
- Renewals at 79% (4 pts under target) are the biggest lever: 1 pt ≈ $10M/month
- Top 3 brokers now 41% of book: we are growing with the same partners

Customers: acquisition is strong, but 12-month retention has slipped six months in a row

Retention (12M)	Attrition (12M)	Avg Balance	Products / Customer
90.4%	**9.6%**	**$38.4K**	**1.42**
-20 bps vs May ▼	Monthly ≈ 0.8%	Oaken	Target 1.50

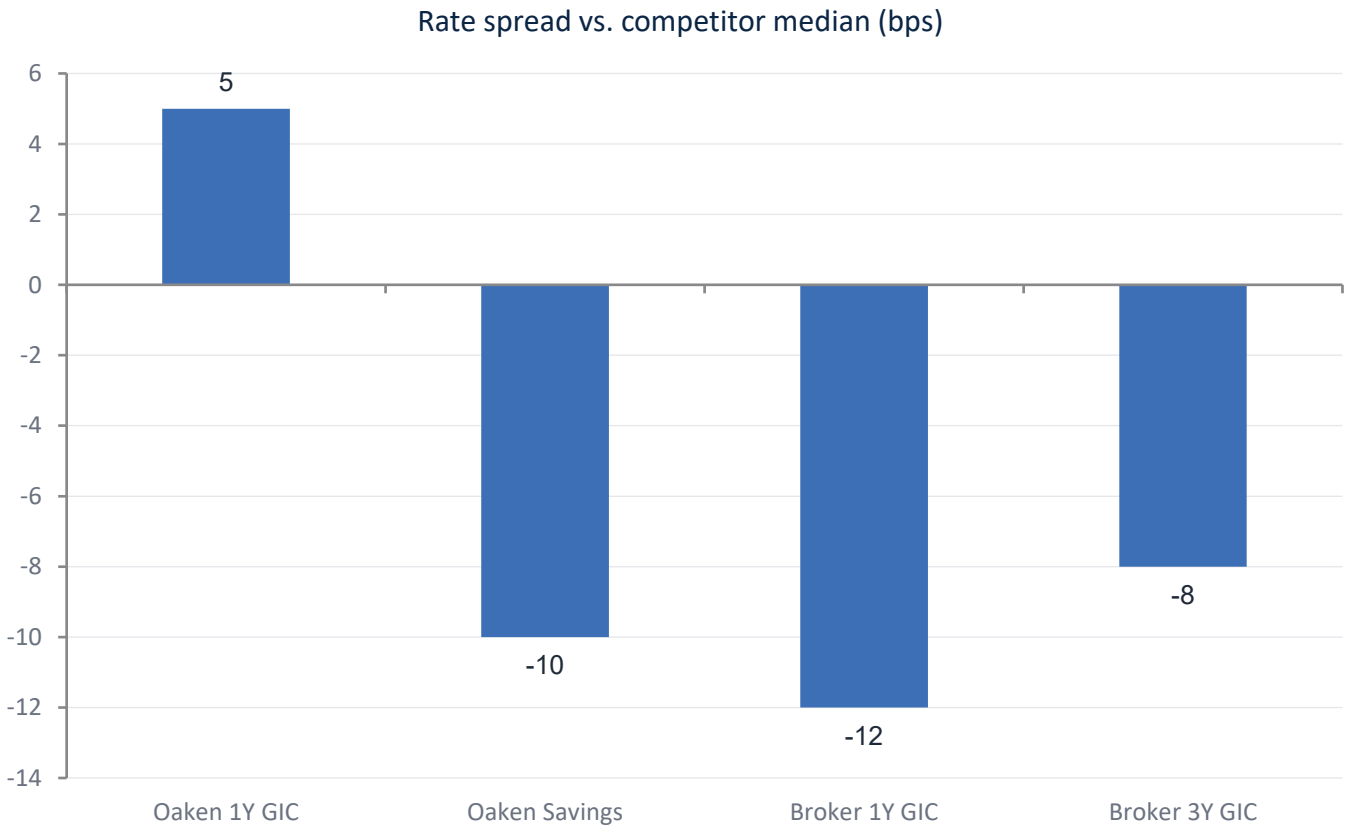


So what

- 6,850 new customers offset attrition, but we are refilling a leakier bucket
- Attrition correlates with service friction (complaints, slower onboarding) and rate rank
- Single-product customers churn most: cross-sell is a retention lever
- Hitting 1.50 products/customer adds ≈ $300M and lowers attrition

Pricing: competitive at Oaken, uncompetitive in Broker 1–3Y GIC; cost of funds still rising

Avg Cost of Funds	Oaken 1Y GIC Rank	Oaken Savings Rank	Broker 1Y GIC Rank
3.55%	**3rd / 10**	**5th / 10**	**7th / 10**
+2 bps MoM	+5 bps vs median	-10 bps vs median	-12 bps vs median

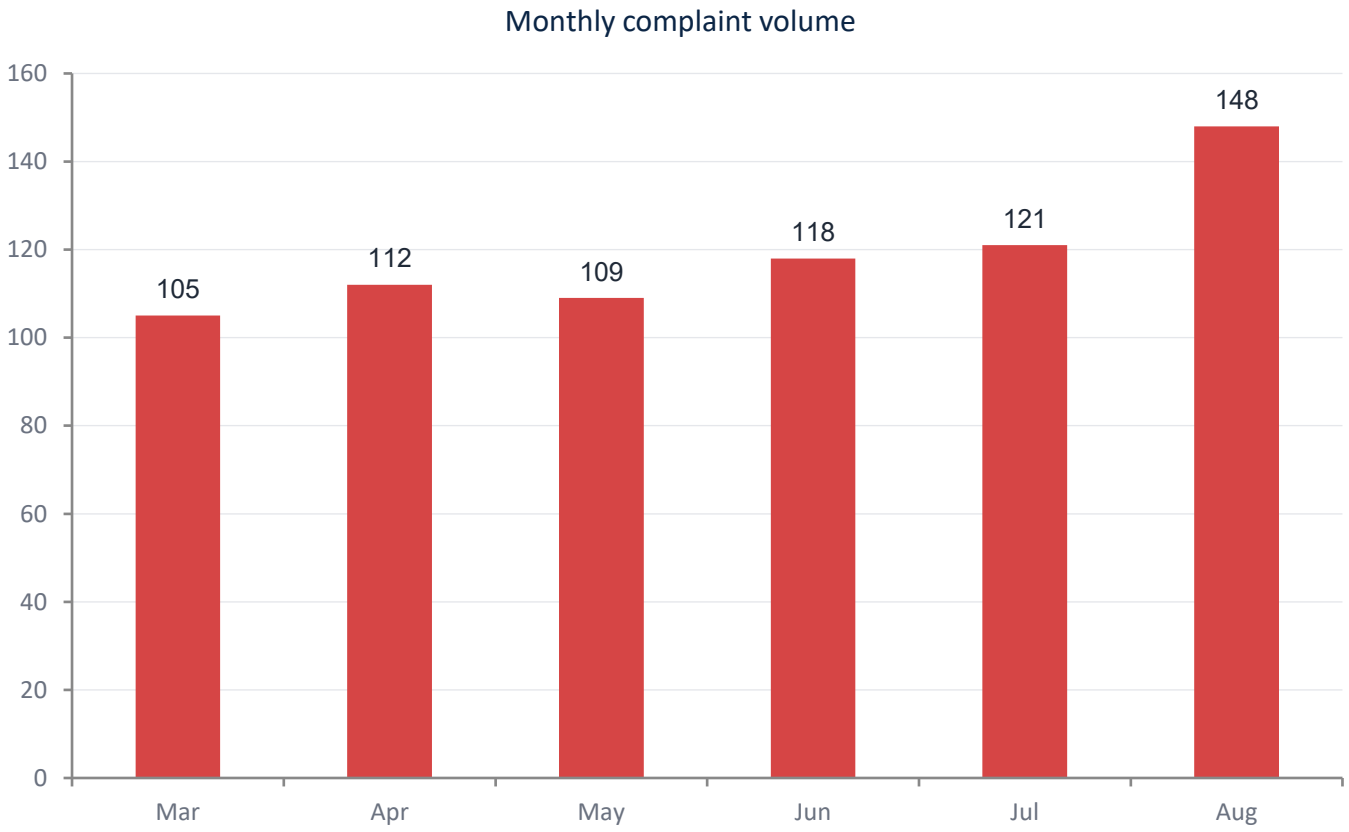


So what

- Oaken cost 3.42% vs Broker 3.61%: Broker is costlier and less loyal
- A targeted +10 bps on 1–3Y Broker GIC brings us to about 4th of 10
- Cost of ~$0.25M annually per $250M vs. cost of lost renewals
- Avoid across-the-board moves: pay for volume only where the rank gap is

Operations: the KYC vendor migration is the root cause behind STP, turnaround and complaints

Service Level	Complaints	Turnaround	STP %
82%	**148**	**1.8 days**	**71%**
Target 80% ✓	+22% vs July ▲	Target 1.5	Target 75% · Jul 74%

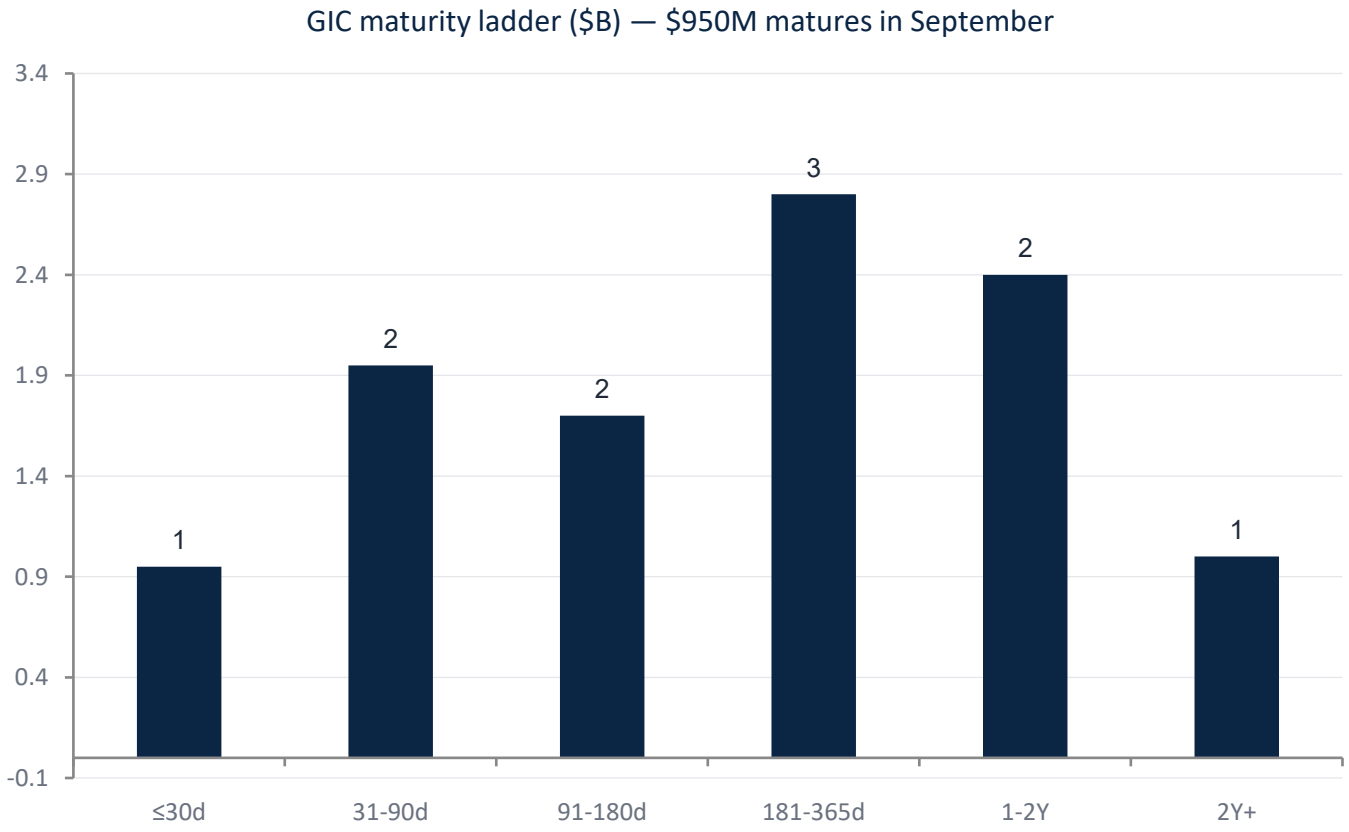


So what

- Contact centre is holding the line (82%), but by absorbing manual work
- STP drop → manual ID review → slower opening → complaints (top: e-transfer / ID delays)
- 60% of volume already migrated; remaining 40% will worsen it without a fix
- $1.2M remediation restores STP ≥75% and cuts complaints ≈25% by Nov

Risks: three funding-quality risks — broker dependence, near-term maturities and large depositors

Top-3 Brokers	Largest Broker	GIC ≤ 90 days	LCR / NSFR
41%	**18%**	**$2.9B**	**138% / 112%**
Limit 40% ●	Limit 20%	27% of GIC	Above minimums ✓



Key risks

- Concentration: top 3 firms 41% of Broker; Broker is 67% of all deposits
- Refinancing: at 81.5% renewals, ~$540M of the $2.9B must be replaced in 90 days
- Large balances: >$250K = 31% of deposits; top 100 = $1.9B (15%)
- Liquidity is sound (LCR 138%); risk is cost and stability, not solvency

Strategic initiatives: four of five on track — KYC migration and renewal retention need support

Initiative	Oakentiereds

Decisions required: four approvals to close the plan gap and strengthen funding quality



Next-month scorecard: close plan gap to ≤ -0.5% · Broker renewals ≥ 81% · STP ≥ 73% · Top-3 broker share ≤ 40%